Trump threatens to double tariffs on Mexico over migrant caravan

> The US President has again used tariffs as leverage on a non-trade issue, while the future of the North American trade agreement (USMCA) remains uncertain.

WHAT HAPPENED

- On 12 November (US time), Trump threatened to **double tariffs** on Mexican goods unless a migrant caravan heading north is stopped.
- Reuters reported more than **1,000 migrants** in a caravan that left Tapachula, near the Guatemalan border.
- In July the US declined to extend **USMCA** beyond its 2036 expiry; trade talks with Mexico are under way.
- US Trade Representative **Jamieson Greer** said the US had spoken with Canada in recent days and was working towards a trade deal.

2×
Threatened tariff increase

1,000+
Migrants in the caravan

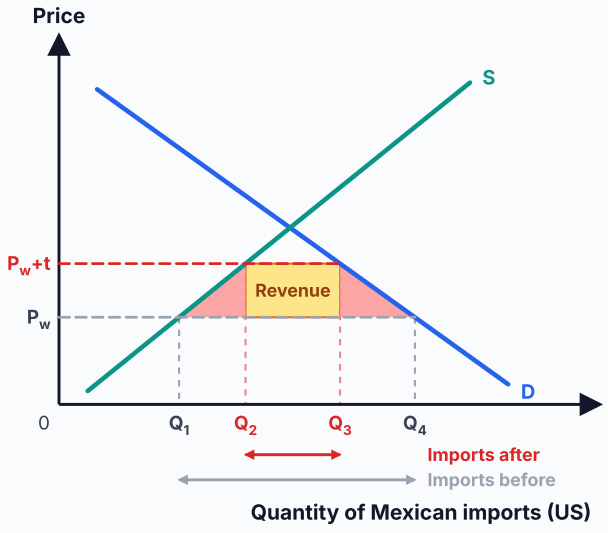
2036
USMCA expiry date

July
US declined to extend USMCA

KEY TERMS

Tariff – A tax on imports that raises their domestic price.
Deadweight loss – Output and consumption lost because resources are used less efficiently.

DIAGRAM What a higher tariff does to the US market



The tariff lifts the US price from **P_w to P_w+t**.

US producers gain: output rises from Q_1 to Q_2. **US consumers** lose: they pay more and buy less (Q_4 to Q_3). **Imports** shrink from Q_1–Q_4 to Q_2–Q_3, hurting **Mexican exporters**. The US government collects revenue, and the red triangles are deadweight losses.

Exam angle: Using tariffs for non-economic goals (migration) is a modern twist on protectionism. Weigh the political aim against the efficiency costs and the risk of retaliation.

FLOW CHART Cause and effect

Tariff threat on Mexico → Higher US prices for Mexican goods → Mexican exports and jobs fall → Uncertainty hits trade and investment

SYLLABUS LINK

Topic 1 – The Global Economy: protectionism (reasons for and effects of tariffs); regional trade agreements (USMCA) and their impact on trade flows.

TRY THIS (6 marks)

Using a diagram, analyse the effects of a tariff increase on US consumers, US producers and Mexican exporters.

Sources: Forbes – Trump threatens Mexico with doubled tariffs: https://www.forbes.com/sites/saradorn/2026/11/12/trump-threatens-mexico-with-doubled-tariffs-reprising-migrant-caravan-warnings-after-midterms/ · Reuters via BNN Bloomberg – US spoke with Canada about trade deal: https://bnnbloomberg.ca/tariffs/2026/11/12/us-spoke-with-canada-about-trade-deal-in-past-few-days-ustr-says